Nation Media Group
Media of Africa for Africa

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The Directors of Nation Media Group PLC announce the unaudited Group financial results for the six months to 30 June 2024

Condensed consolidated statement of comprehensive income

	June 2024 Kshs m	June 2023 Kshs m
Turnover	3,175.1	3,529.6
Cost of sales	(737.2)	(862.2)
Gross profit	2,437.9	2,667.4
(Loss)/profit before income tax	(345.8)	10.8
Income tax credit/(expense)	85.6	(7.9)
(Loss)/profit after income tax	(260.2)	2.9
Other comprehensive (loss)/income net of tax	(312.0)	187.6
Total comprehensive (loss)/income for the period	(572.2)	190.5
(Loss)/profit after income tax attributable to:		
Owners of the parent	(553.5)	176.8
Non controlling interest	(18.7)	13.7
Earnings per share (Kshs)	(1.5)	0.0

Condensed consolidated statement of financial position

	June 2024 Kshs m	December 2023 Kshs m
Capital and reserves		
Share capital	518.5	518.5
Other reserves	217.8	512.5
Retained earnings	7,185.0	7,444.8
Treasury shares reserve	(808.2)	(714.8)
	7,113.1	**7,761.0**
Non controlling interest	81.9	100.6
Total equity	**7,195.0**	**7,861.6**
Non-current liabilities	322.5	353.8
	7,517.5	**8,215.4**
Assets		
Non-current assets	4,190.7	4,501.5
Working capital		
Current assets	6,871.6	7,302.0
Current liabilities	3,544.8	3,588.1
Net working capital	**3,326.8**	**3,713.9**
	7,517.5	**8,215.4**

Condensed consolidated statement of cashflows

	6 months ended 30.06.24 Kshs m	6 months ended 30.06.23 Kshs m	12 months ended 31.12.23 Kshs m
Cash used in operations	(65.9)	(103.9)	(203.3)
Interest on lease	(19.0)	(19.2)	(32.6)
Share buyback expenses	(1.0)	-	(3.7)
Tax paid	(41.2)	(44.2)	(106.5)
Net cash used in operating activities	**(127.1)**	**(167.3)**	**(346.1)**
Net cash generated from investing activities	779.1	1,036.6	741.6
Net cash used in financing activities	(159.0)	(48.4)	(721.5)
Increase/(decrease) in cash and cash equivalents	**493.0**	**820.9**	**(326.0)**
At start of period	1,723.2	1,893.9	1,893.9
Exchange (loss)/gain on cash and cash equivalents	(93.1)	96.0	155.3
At end of period	**2,123.1**	**2,810.8**	**1,723.2**
Short term investments	714.3	909.4	1,378.8
Total cash and cash equivalents and short term investments	**2,837.4**	**3,720.2**	**3,102.0**

Condensed Group statement of changes in equity

	Attributable to equity holders of the company						
	Share capital Kshs m	Treasury shares reserve Kshs m	Other reserves Kshs m	Retained earnings Kshs m	Proposed dividends Kshs m	Minority interest Kshs m	Total equity Kshs m
6 months ended 30th June 2024							
At start of year	518.5	(714.8)	512.5	7,444.8	-	100.6	7,861.6
Total comprehensive loss:							
Loss for the period	-	-	-	(258.8)	-	(1.4)	(260.2)
Other comprehensive loss, net of tax							
Curreny translation differences	-	-	(211.9)	-	-	(17.3)	(229.2)
Share of comprehensive loss in associate	-	-	(82.8)	-	-	-	(82.8)
Total other comprehensive loss	**-**	**-**	**(294.7)**	**-**	**-**	**(17.3)**	**(312.0)**
Total comprehensive loss for the period	**-**	**-**	**(294.7)**	**(258.8)**	**-**	**(18.7)**	**(572.2)**
Transaction with owners:							
Share buy-back	-	(93.4)	-	(1.0)	-	-	(94.4)
Total transaction with owners	**-**	**(93.4)**	**-**	**(1.0)**	**-**	**-**	**(94.4)**
At end of period	**518.5**	**(808.2)**	**217.8**	**7,185.0**	**-**	**81.9**	**7,195.0**

Performance
The current period was characterized by a depressed macro-economic environment and weakened consumer spending.

Whereas the print business sector continued to experience declining revenues, digital revenue grew by 14% compared to the comparable period last year, as monetisation of our digital assets and audiences gained pace. Our digital footprint increased to 63.5 million users compared to 59.5 million in the same period last year, following sustained focus on audience acquisition and engagement. Our digital growth initiatives continue to gather pace with the latest highlight being the launch of a content subscription paywall on the redesigned *Business Daily* website, whose performance so far has been very positive.

Group turnover declined by 10% from Kshs 3.530 billion to Kshs 3.175 billion, while the incurred loss before tax of Kshs 345.8 million includes a one-off expense of Kshs 119.0 million related to staff restructuring undertaken in June 2024. Sustained focus on improving productivity and operational efficiency has kept a lid on the growth of overhead costs.

Share Buyback
The second Share Buyback closed on 12th June 2024 and 100% of the maximum shares targeted for reacquisition being repurchased.

Dividend
Considering the prevailing economic environment and the Group's investment plans, the Board of Directors does not recommend payment of an interim dividend.

Outlook
We maintain our confidence in the investments we continue to make to transform the organization, develop a portfolio of new digital products, and enhance revenue diversification by monetizing our extensive digital presence. Further, the Group will also continue to maintain a strong presence in commercially viable print and broadcast media, focusing on unique and relevant content. Together, these efforts are expected to solidify the Group's position as a leading multi-media company, delivering impactful content to our audiences.

By order of the Board

Angela Namwakira
Company Secretary
2nd August 2024

OUR BRANDS

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